Crude Oil Weekly — Wednesday 21 October 2026

EIA WPSR week ending 16 Oct (released Wed 21 Oct) · NYMEX settlements 21 Oct · EIA Brent spot to 20 Oct · Price changes run Wednesday 14 Oct to Wednesday 21 Oct, same contract (Dec26 for both benchmarks; WTI Nov expired 20 Oct)

Reconstructed on 25 Oct 2026 using only data and news public by the 21 Oct settlement. Drafted with Claude (claude-opus-5-5) through `brief_llm.py`, then checked and edited; corrections to the AI draft are listed at the end.

Bottom line: US commercial crude stocks fell for a third straight week, by 3.1 mb against a 0.8 mb draw expected (Reuters poll). Supply did the work, not demand: output fell another 410 kb/d to 13.27 mb/d, imports slipped, runs were flat, and Cushing built for a 5th straight week to 27.6 mb, 10.9% above its 5-year average. Flat price followed Hormuz, not the US data. Brent Dec rose $2.76 to $108.82 and WTI Dec rose $3.25 to $97.15; more than all of Brent's weekly gain came on the 16 Oct escalation, and mediation talk on 20 Oct trimmed it. Prompt spreads firmed on both benchmarks, and in WTI that runs against Cushing's level. Products went the other way: the ULSD crack fell $10.54 as distillate stocks built and Russian, Chinese and G7 diesel supply returns.

1. Market snapshot (Wednesday-to-Wednesday)

	21 Oct	w/w	Comment
Brent Dec26	$108.82	+$2.76	From $106.06. Settled $109.86 on 16 Oct; $111.99 high on 20 Oct; +$0.03 on WPSR day
WTI Dec26	$97.15	+$3.25	From $93.90; –$0.67 on WPSR day. Nov expired at $101.79
Brent–WTI, matched Dec26	$11.67	–$0.49	Peak $13.79 on 12 Oct (widest in our data, from Oct 2024); $8.61 on 23 Sep
WTI Dec–Jan	+$1.69	+$0.62	$0.71 on 7 Oct; $2.42 on 23 Sep
Brent Dec–Jan	+$3.75	+$1.09	Reverses the slide from $3.09 (23 Sep) to $2.66 (14 Oct)
ULSD crack, Dec26 matched	$95.09	–$10.54	Distillate build; diesel supply returning
RBOB crack, Dec26 matched	$30.49	–$7.58	Fell despite a gasoline draw
3-2-1 crack, Dec26 matched	$52.02	–$8.56	Partly mechanical: the WTI leg rallied
EIA Brent spot (20 Oct)	$115.22	—	$6.43 over Brent Dec futures, far narrower than the premium a week earlier
WTI 20-day realised vol	38.2%	—	Higher than last week's reading

Note: the window includes 15 Oct, last week's delayed WPSR day. WTI is quoted on Dec26 throughout. Continuous front-month charts roll from Nov to Dec on 20 Oct and overstate or understate the week depending on the roll.

2. What changed since last week

Last week's read	What happened	Assessment
Storm draw should reverse as Gulf of Mexico output and imports recover; a rebound plus a crude build would confirm the artefact read	Output fell another 410 kb/d after –300 kb/d the week before; imports –291 kb/d; crude drew again	**Not confirmed.** The supply loss is lasting longer than we assumed. The draw is still supply-driven, so the artefact read stands, but its reversal is delayed
A fifth Cushing build would pressure WTI spreads; Nov–Dec vulnerable into expiry	Cushing +1.0 mb (5th build), yet Nov expired firm at $101.79 and Dec–Jan widened $0.62	**Wrong for a second week.** National crude tightness and Brent's pull outweighed Cushing
Brent–WTI could widen again as WTI's storm premium unwinds; Hormuz the upside driver for Brent	Hormuz escalated and Brent rallied, but WTI rose more; spread –$0.49 to $11.67	**Wrong direction, right driver.** WTI's premium has not unwound because the barrels have not returned

Last week's read	What happened	Assessment
Cracks bearish, but distillate too low for a sustained collapse	ULSD crack –$10.54; distillate +1.7 mb	**Bearish leg confirmed.** The 'too low to collapse' floor is being tested
Brent driven by geopolitics; argued against chasing the WTI rally	Brent's gain came on the 16 Oct Hormuz escalation; WTI Dec still rose $3.25 on the week, though it lagged on WPSR day	**Driver confirmed; the WTI caution was early**

3. Key fundamental developments

US weekly data (week to 16 Oct): headline tight, Cushing loose.

- **Crude stocks:** –3.1 mb to 412.5 mb, 14.0 mb (3.3%) below the 5-year average. That is 3 straight draws and –14.8 mb over three weeks.
- **Why it drew:**
  - Production fell to 13.27 mb/d, well below its 4-week average of 13.72 mb/d. The draw coincides with lower output; continued Isaias after-effects (1.28 mb/d shut in at the peak) are the likely reason, though our sources do not confirm restart status.
  - Imports fell to 5.76 mb/d.
  - Runs barely moved: 16.65 mb/d (+34 kb/d), utilisation 93.4%. So this is not a demand-pull draw.
  - Exports fell 1.13 mb/d to 3.44 mb/d, against an October average of 4.26 mb/d. Lower exports keep barrels at home, so they **cushioned** the draw rather than causing it. Exports fell even with the Brent–WTI arb wide; our sources do not explain why (weather or port disruption is possible but unconfirmed), and weekly export data are volatile.
- **Cushing:** +1.0 mb to 27.6 mb, +3.8 mb over four weeks and 2.7 mb above normal.
- **Products:** Gasoline –3.0 mb, 5.0% below average. Distillate +1.7 mb to 104.3 mb, still 9.3% below average. Total commercial stocks fell 8.5 mb; the SPR slipped 0.3 mb.
- **Demand:** Four-week product supplied averaged 21.1 mb/d, up 3.2% y/y; four-week distillate demand was down 2.4% y/y. US demand is not the weak spot; diesel is.
- **Read against our study:** Cushing's level is the strongest inventory link to WTI M1–M2 (stock deviations explain 36% of spread variation; about $0.029/bbl per mb versus normal). A Dec–Jan backwardation of $1.69 with Cushing above normal sits outside that pattern. Our inference, not a tested result: national stocks below average, supply losses on the Gulf Coast and Brent's firm structure are holding WTI's prompt up. The study's finding that a wide Brent–WTI goes with tight Cushing and high exports also does not fit now; the spread is being set by the Brent leg.

Geopolitics: Hormuz escalation, then mediation.

- Iran attacked at least 9 commercial ships after 11 Oct; Brent touched $110 on 16 Oct, its first time since May. Kpler counts at least 18 vessels attacked in two weeks.
- Kpler put Hormuz exports at 8.5 mb/d in the week to 12 Oct, nearly 40% below pre-war. That compares with IEA Gulf crude exports of 13.9 mb/d in September; the two measures are not comparable, and the October reversal rests mainly on Kpler.
- Houthis claimed attacks on Aramco's Yanbu site and the Shaybah field (18 Oct). Saudi authorities did not confirm; treat as unverified, but it extends risk to the Red Sea outlet.
- On 20 Oct Iran's president met Pakistan's army chief on mediation; Brent Dec fell $0.76 that day. The US no-attack pledge runs to the 3 Nov midterms.
- Prompt structure confirms physical tightness: Brent Dec–Jan widened to $3.75. But the physical premium has narrowed sharply to $6.43, suggesting futures have caught up with physical rather than physical pulling further ahead.

Products: diesel supply returning on three fronts.

- The US suspension of sanctions lets Russian diesel cargoes return to usual buyers (20 Oct).
- The G7 release (up to 100 mb of crude and diesel) is front-loaded in diesel.

- Chinese exports resumed, though the October quota of ~3.7 Mt is below estimated September exports of ~4.36 Mt.
- The IEA attributes 25% of its 2026 demand drop to diesel. Part of the crack fall is mechanical (the crude leg rose).

Global balance (unchanged since last week): IEA sees 2026 demand at –2.6 mb/d, OPEC at +0.2 mb/d. IEA on-land stocks fell 113 mb in September, offset by oil on water. Brent now trades above the EIA STEO's 4Q26 forecast of $105, which assumes Middle East shut-ins of 4.5 mb/d.

4. Trading implications

Bullish

- Hormuz flows low and attacks rising; unverified risk to Yanbu.
- US crude 3.3% below its 5-year average after 3 draws; Gulf of Mexico output still depressed.
- Brent Dec–Jan at $3.75 and rising; global on-land stocks very low.
- Distillate still 9.3% below average.

Bearish

- Cushing 10.9% above normal after 5 builds; low exports leave more crude at home.
- Gulf of Mexico restarts will eventually reverse the supply-driven draws.
- Mediation talk and the pre-midterm no-attack pledge cap near-term escalation risk.
- Diesel supply returning from Russia, China and G7 stocks; cracks falling fast.
- Demand estimates keep falling (IEA –2.6 mb/d).

Positioning view (analytical, not a recommendation):

- **WTI structure:** Dec–Jan at $1.69 is back to its 30 Sep level of $1.69. We have been wrong on it two weeks running and lower our conviction. The bearish case now needs both a production rebound and a 6th Cushing build; until then the spread is likely to track Brent's structure.
- **Brent–WTI ($11.67):** Two-way. Hormuz supports the Brent leg; depressed US output supports WTI. A recovery in exports from 3.44 mb/d would tighten the US side and argue for narrowing; restored Gulf of Mexico output would argue for widening.
- **Cracks:** Bearish momentum on diesel supply, but a 9.3% stock deficit and seasonal demand limit how far it can run. Chinese volumes below quota would be the first sign of a floor.
- **Flat price:** Headline-driven, with vol at 38.2%. US data matter less than Hormuz and the mediation track; the risk window reopens after 3 Nov.

5. Signposts for next week

Date	Event	What would change the view
Wed 28 Oct (week to 23 Oct)	EIA WPSR	A production rebound and a crude build would finally confirm the storm-artefact read; a 6th Cushing build with Dec–Jan still firm would make us drop the WTI spread caution
Ongoing	Gulf of Mexico restarts after Isaias	Slow restarts extend WTI support and keep the US draw streak alive
Ongoing	US crude exports	A rebound toward the October average of 4.26 mb/d would tighten US balances and narrow Brent–WTI
Ongoing	Hormuz flows and attacks (Kpler); confirmation or denial of Yanbu damage	Confirmed Saudi damage or another week of heavy attacks would push Brent structure further into backwardation
Ongoing	Iran–Pakistan mediation	Concrete progress would hit Brent's risk premium and the Dec–Jan spread first
Late Oct	Brent front-month roll from Dec to Jan	Watch whether Dec–Jan backwardation holds into expiry

Date	Event	What would change the view
Late Oct	Chinese October export volumes; Russian and G7 diesel arrivals	Exports below the ~3.7 Mt quota would support diesel cracks
1 Nov / 3 Nov	OPEC+ meeting; US midterms (end of the no-attack pledge window)	Escalation risk is likely to re-price after the midterms

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Verification log

Item	Value	Sources / check	Status
WPSR crude, products, runs, demand	as above	EIA official highlights (`data/sources/wpsr_summary_2026-10-21.txt`) vs our EIA API pull	Match
5-year comparisons	crude –3%, gasoline –5%, distillate –9%	EIA % vs our same-date calculation (–3.3%, –5.0%, –9.3%)	Match after rounding
Consensus for crude	–0.8 mb (Reuters poll, 20 Oct); –0.1 mb (Investing.com)	Two polls	Consistent
Brent Dec / WTI Dec 21 Oct settles	108.82 / 97.15	Yahoo; CNBC and Investing.com (21 Oct)	Match
20 Oct settles	Brent Dec 108.79; WTI Nov 101.79 (expiry); WTI Dec 97.82	Yahoo (WTI Nov from the front-month series, `data/manual/futures_patch.csv`); Reuters (20 Oct)	Match
16 Oct settles	Brent Dec 109.86; WTI Nov 101.41	Yahoo; CNBC / NBC (16 Oct)	Consistent
14 Oct reference settles	Brent Dec 106.06; WTI Dec 93.90	Yahoo only	Single source
Dec/Dec spreads	not shown	Dec27 contracts unpriced on Yahoo after 8–9 Oct	Excluded
Hormuz attacks	at least nine since 11 Oct; at least 18 in two weeks (Kpler)	CNBC (16 Oct); Reuters (20 Oct)	Secondary
Houthi claims on Yanbu and Shaybah		CNBC (18 Oct); Reuters (20 Oct). Saudi authorities did not confirm	Unverified claims
Iran–Pakistan mediation; Russian diesel cargoes		Reuters via Yahoo Finance (20 Oct)	Single source
Gulf of Mexico restart status	not found	No restart figures published by the cut-off	Gap
Correction to the 15 Oct report	none needed	—	—
Excluded (after cut-off)	22 Oct Houthi wave and Aramco's Dhahran evacuation; 23 Oct Brent settle $116.72; Shaybah drone debris (reported 23 Oct)	Publication dates	Excluded

Review of the AI draft

- **Automated check:** 154 tagged figures, 148 matched, no untagged numbers. All six flags were correct on a hand check: ordinal streaks ("5th straight week", 第3週, 第5週) and "at least 9" ships, which the source writes as "nine".
- **Claims corrected by hand:** "The source attributes the draw to lower output": that attribution came from our own event-log note, not from EIA; reworded. In the Chinese summary, "布蘭特週漲幅幾乎全數來自當天" understated the point: the 16 Oct gain ($3.94) exceeds the whole week's ($2.76).

- No numeric corrections were needed.

Sources

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